Six everyday items up 40%+ since the pandemic as CPI tests the RBA

New analysis of ABS data shows prices have outrun wages since late 2021, and six CPI items are up more than 40%. Wednesday's September-quarter CPI is expected to decide whether the RBA lifts the cash rate to an 18-year high of 4.85% next week.

WHAT HAPPENED

- Analysts expect **underlying inflation of 1.0% for the September quarter**, above the RBA's 0.8% forecast. That would keep the annual rate at **3.6%**, well above the 2–3% target.
- Between **Dec 2021 and Jun 2026**, consumer prices rose **21.5%** but nominal wages rose only **16.8%**, so households' **purchasing power has fallen**.
- Of the **87 items** in the CPI basket, **six rose more than 40%**: tobacco, insurance, gas, postal services, eggs, and oils and fats. Ten more, including electricity, bread and milk, rose over 30%.
- Economists expect the quarter's main drivers to be **fuel (about +8% after the fuel excise was reinstated)**, higher public transport fares as states cut subsidies. Prices for **computing equipment** are also rising, linked to AI demand.

Underlying (trimmed mean) inflation: inflation excluding the most extreme price changes; the RBA's key gauge

Real wages: wages adjusted for inflation; they fall when prices rise faster than pay

KEY NUMBERS

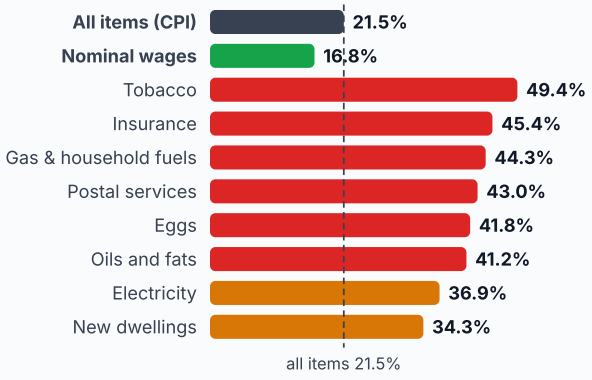
1.0%
expected trimmed mean, Sept qtr (RBA forecast 0.8%)

3.6%
expected annual underlying inflation

21.5% vs 16.8%
prices vs nominal wages, Dec 2021–Jun 2026

4.85%
cash rate if the RBA hikes (18-year high)

BAR CHART — Price rises since the pandemic: Dec 2021 to Jun 2026



The six red bars show the items that rose **more than 40%**, about twice as fast as the CPI as a whole. Since wages (green) rose **less than prices** overall, real wages fell by about **4%** (1.168 ÷ 1.215 ≈ 0.96).

AMP's Shane Oliver notes that many items have run above target for years, reflecting mainly **domestic demand and supply conditions** rather than one-off global shocks.

COMPARE — What is driving inflation? Two views

Global / supply-side view (Chalmers, Albanese)

- The Middle East conflict has pushed up fuel and energy costs
- The logic: imported cost-push pressure is largely outside domestic control
- Government cites savings in each budget update, e.g. a proposed $3b private health rebate cut

Domestic demand view (RBA, Coalition, economists)

- RBA's Hunter: rate rises are "not quite yet" done, and government spending is "definitely part of the picture"
- ANZ: market services inflation (meals out, hairdressing) is rising
- Taylor: control spending growth to lower rates; Coalition proposes $31.3b in cuts

Exam angle: the RBA can't fix supply shocks, but it acts when inflation becomes broad-based and domestic. AMP's Diana Mousina says a quarterly trimmed mean **above 1%** would make a November rise likely.

SYLLABUS LINK

Topic 3 – inflation: measuring it with the CPI; causes (cost-push vs demand-pull, domestic vs imported); effects on real wages and income distribution. Topic 4 link – monetary policy and how it interacts with fiscal policy.

TRY THIS

1. Using the figures, calculate the approximate change in real wages from Dec 2021 to Jun 2026 and explain its effect on living standards. **(3 marks)**
2. "Australia's inflation problem is mainly domestic." Assess this statement using evidence from the article. **(6 marks)**

Sources:
1. The Australian Financial Review – Michael Read, "The six everyday items that have risen in price the most", 27 Oct 2026 (subscriber copy; figures from ABS CPI data) – https://www.afr.com/policy/economy
2. RBA – Sarah Hunter, Interview on 60 Minutes, 25 Oct 2026 – https://www.rba.gov.au/speeches/2026/sp-ag-2026-10-25.html

Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.